utilisation has also been improving. "It is not that the private sector is not in a position to invest. Their balance sheets are much stronger. Given the risks, they also need to keep their balance sheets stronger to withstand the uncertainties." According to him, although interest rates hurt, they are not the deciding factor for investment.

Lagging demand is another factor inhibiting private investment. A little over a year ago, the country was battling the third wave of Covid. A number of businesses struggled as the pandemic kept shoppers away from malls and shopping centres and eateries had to down shutters or go with fewer patrons to meet Covid protocols. Although the numbers have improved in Q1FY23 as the economy opened up post the pandemic, high net imports and weaker government consumption expenditure kept overall growth soft. Despite private consumption getting better, with urban demand getting support from contact-intensive services; inflation, unemployment and insecurity on the job front, and subdued rural demand still remain concerns.

According to Naushad Forbes, co-chairman of the engineering firm Forbes Marshall, the weak investment is a reflection of the lagging demand. "FMCG volumes are still barely above pre-pandemic levels. We need to see a sustained increase in capacity utilisation to justify investment. Having said that, our own experience as a company is that investment in capex is happening, but it doesn't yet reflect in the capital formation data." In July, FMCG major Hindustan Unilever Limited (HUL) had warned that a persistent decline in sales volumes indicated that demand had not recovered in the countryside and inflation was worsening the situation. "Market volumes on a negative basis, consistently over a long period, definitely (point to) stress on demand," Sanjiv Mehta, HUL's CEO & MD, had said in a media interview then. "High commodity inflation is the primary reason for the market volume decline." Although the FMCG market expanded 7 per cent in value, it fell 5 per cent in volumes in the June quarter. "There is a business cycle involved here, you cannot spur things in a different direction," says Vyas. "You did tax cuts, PLI, but it doesn't move the needle, because there is business economics at play."

Persisting inflation is a third source of worry for investment. After dropping to 6.71 per cent in July, consumer price inflation (CPI) has once again risen to 7 per cent for August, raising more trouble for the RBI, which had initiated a slew of repo rate hikes to control price rise. The clothing and footwear sectors have seen

REVIVING THE 'ANIMAL SPIRITS'

Bringing back private investment—a key pillar of the economy—is imperative to make India's recovery from the pandemic sustainable

THE ISSUES



GLOBAL UNCERTAINTY caused by Russia's invasion of Ukraine in late February first led to commodity prices peaking, then to the threat of an impending recession



ALTHOUGH URBAN demand improved as contact-intensive services restarted, unemployment, insecurity on the job front and subdued demand from the rural areas are still concerns



THREAT OF INFLATION continues, with August showing retail inflation remaining sticky at 7 per cent despite a series of interest rate hikes by the RBI. Higher interest rates also dampen investment



CAPACITY UTILISATION dropped to less than 50 per cent during the worst period of the pandemic. Although this has picked up to 70 per cent, it needs to improve to around 80 per cent

THE REMEDY



REVIVE A SUSTAINED DEMAND that can lead to a turnaround in investment



BOOST RURAL DEMAND with higher farmer incomes and rural jobs



REIN IN INFLATION. RBI is likely to continue an aggressive monetary policy; interest rates to go up further



FOCUS on labour-intensive manufacturing and tourism as these have the potential to create millions of high-quality jobs



SUPPORT firms that have the appetite and the resources to invest in select industries so that the whole ecosystem flourishes